2. Mean-Variance Frontiers

Mean-variance frontiers depict the best set of portfolios that an investor can obtain (only considering means and volatilities, of course!). Let's start by considering a U.S. investor contemplating investing only in U.S. or Japanese equities.

2.1. UNITED STATES AND JAPAN

In the 1980s Japan seemed poised to take over the world. Figure 3.1 plots cumulated returns of U.S. and Japanese equities from January 1970 to December 2011 using MSCI data. (I also use these data for the other figures involving G5 countries in this chapter.) Japanese returns are plotted in the solid line and U.S. returns are shown in the dashed line. Japanese equities skyrocketed in the 1980s. Many books were written on Japan's stunning success, like Vogel's (1979) *Japan as Number One: Lessons for America*. Flush with cash, Japanese companies went on foreign buying binges. Japanese businesses bought marquee foreign companies: Universal Studios and Columbia Records were sold to Matsushita Electric and Sony, respectively. The Japanese also bought foreign trophy real estate. The Mitsubishi Estate Company of Tokyo purchased Rockefeller Center in 1989. In 1990 the famous Pebble Beach golf course was sold to a Japanese businessman, Minuro Isutani. Figure 3.1 shows that the United States did well during the 1980s too, but not nearly as well as booming Japan.

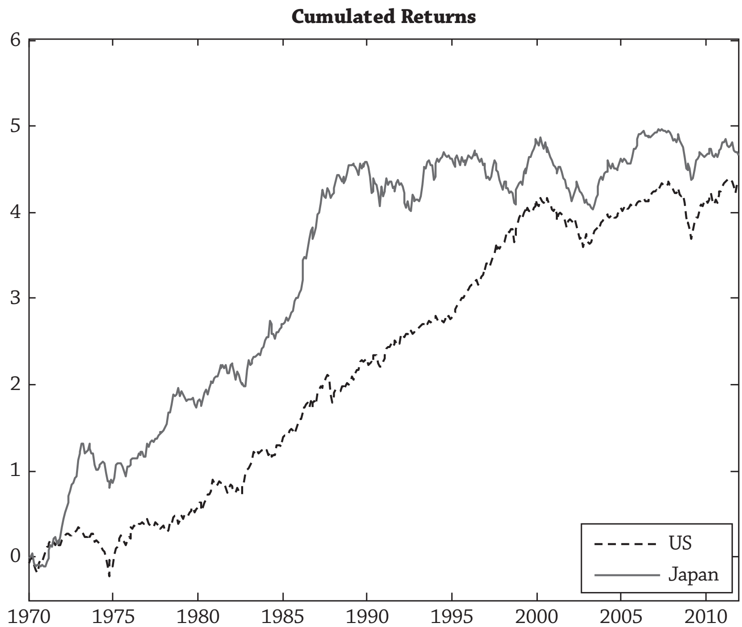

Figure 3.1